COMMONWEALTH OF THE NORTHERN MARIANA ISLANDS

Eloy S. Inos
Governor

Jude U. Hofschneider
Lieutenant Governor

04 SEP 2014

Honorable Joseph P. Deleon Guerrero
Speaker, House of Representatives
Eighteenth Northern Marianas
Commonwealth Legislature
Saipan, MP 96950

Honorable Ralph DLG. Torres
Senate President, The Senate
Eighteenth Northern Marianas
Commonwealth Legislature
Saipan, MP 96950

Dear Mr. Speaker and Mr. President:

This is to inform you that I have signed into law House Bill No. 18-165, SD1, entitled, "To amend the standards for the renewable energy portfolio for electrical power producers and to amend 4 CMC § 8532 to authorize the installation of net energy metering for all eligible residential customer-generators; and for other purposes," which was passed by the House of Representatives and the Senate of the Eighteenth Northern Marianas Commonwealth Legislature.

This bill becomes **Public Law No. 18-62**. Copies bearing my signature are forwarded for your reference.

Sincerely,

ELOY S. INOS

cc: Lt. Governor; Lt. Governor's Legal Counsel; Attorney General's Office; Commonwealth Utilities Corporation; Public Auditor; Special Assistant for Administration; Special Assistant for Programs and Legislative Review

Caller Box 10007 Saipan, MP 96950 Telephone: (670) 664-2200/2300 Facsimile: (670) 664-2211/2311

House of Representatives
18th NORTHERN MARIANAS COMMONWEALTH LEGISLATURE
P.O. BOX 500586
SAIPAN, MP 96950

July 29, 2014

The Honorable Eloy S. Inos
Governor
Commonwealth of the Northern
Mariana Islands
Capitol Hill
Saipan, MP 96950

Dear Governor Inos:

I have the honor of transmitting herewith for your action **H. B. No. 18-165, SD1**, entitled: "To amend the standards for the renewable energy portfolio for electrical power producers and to amend 4 CMC § 8532 to authorize the installation of net energy metering for all eligible residential customer-generators; and for other purposes.", which was passed by the House of Representatives and the Senate of the Eighteenth Northern Marianas Commonwealth Legislature.

Sincerely yours,

Linda B. Muña
House Clerk

Attachment

Eighteenth Legislature
of the
Commonwealth of the Northern Mariana Islands

IN THE HOUSE OF REPRESENTATIVES

Third Regular Session

January 9, 2014

Representative Francisco S. Dela Cruz, of Saipan, Precinct 3 (*for himself,*) in an open and public meeting with an opportunity for the public to comment, introduced the following Bill:

H. B. No. 18-165, SD1

AN ACT

TO AMEND THE STANDARDS FOR THE RENEWABLE ENERGY PORTFOLIO FOR ELECTRICAL POWER PRODUCERS AND TO AMEND 4 CMC § 8532 TO AUTHORIZE THE INSTALLATION OF NET ENERGY METERING FOR ALL ELIGIBLE RESIDENTIAL CUSTOMER-GENERATORS; AND FOR OTHER PURPOSES.

The Bill was referred to the House Committee on Public Utilities, Transportation, and Communications, which submitted Standing Committee Report 18-103; adopted February 11, 2014.

THE BILL WAS PASSED BY THE HOUSE OF REPRESENTATIVES ON FIRST AND FINAL READING, FEBRUARY 19, 2014;
without amendments and transmitted to the
THE SENATE.

The Bill was referred to the Senate Committee on Public Utilities, Transportation, and Communications, which submitted Standing Committee Report 18-56; adopted on May 2, 2014.
THE BILL WAS PASSED BY THE SENATE ON FIRST AND FINAL READING, MAY 2, 2014;
with amendments in the form of H. B. 18-165, SD1.

H. B. 18-165, SD1 WAS RETURNED TO THE HOUSE OF REPRESENTATIVES ON MAY 7, 2014.

The House of Representatives accepted the Senate amendments and passed H. B. 18-165, SD1 during its 1st Day, Fourth Special Session on July 22, 2014.

THE BILL WAS FINALLY PASSED ON JULY 22, 2014

Linda B. Muña, House Clerk

Eighteenth Legislature
of the
Commonwealth of the Northern Mariana Islands

IN THE HOUSE OF REPRESENTATIVES

FIRST DAY, FOURTH SPECIAL SESSION

JULY 22, 2014

H. B. 18-165, SD1

AN ACT

TO AMEND THE STANDARDS FOR THE RENEWABLE ENERGY PORTFOLIO FOR ELECTRICAL POWER PRODUCERS AND TO AMEND 4 CMC § 8532 TO AUTHORIZE THE INSTALLATION OF NET ENERGY METERING FOR ALL ELIGIBLE RESIDENTIAL CUSTOMER-GENERATORS; AND FOR OTHER PURPOSES.

Be it enacted by the Eighteenth Northern Marianas Commonwealth Legislature:

Section 1. Findings. The Legislature finds that the Commonwealth must find ways to conserve energy and explore alternative energy sources. Rising world oil prices have had a profound effect on the Commonwealth most notably with regard to public utilities. The Legislature further finds that the CNMI must reduce its dependence on fossil fuels and move toward the use of renewable energy while setting realistic deadlines for meeting that goal. To implement these findings, Public Law 15-23 was enacted on August 10, 2006 and subsequently amended by Public Law 15-87. Public Law 15-87 contains renewable portfolio standards requiring that a percentage of electrical energy be obtained from renewable resources. None of the standards have been achieved. The Legislature finds that the renewable energy standards should be reduced to 20% and the time within which to achieve the standards should be extended to 2016.

In addition, the Legislature finds that renewable energy sources are becoming readily available and more and more residential customers are seeking new options, even if it is at their expense, to help reduce the high costs of utility rates. However, the Legislature finds that the CUC has rejected the use of net energy metering by moratorium. It is for this reason that the Legislature agrees that in order to help residential customers who are seeking to include renewable energy systems, 4 CMC § 8532 must be amended to allow all eligible residential customer-generators with net metering.

Section 2. Amendment. 4 CMC Section 8522 is amended as follows:

"**Renewable Portfolio Standard.**

Each electric utility shall establish a renewable portfolio standard of:

Twenty percent of its net electricity sales on or before December 31, 2016."

Section 3. Amendment. 4 CMC § 8532 is amended as follows:

"(a) An eligible customer-generator shall be entitled to receive net energy metering service in accordance with this article.

(b) Notwithstanding any law, CUC regulations, or moratorium to the contrary, CUC shall authorize and implement the installation of net energy metering service for all eligible residential customer-generators."

Section 4. Severability. If any provisions of this Act or the application of any such provision to any person or circumstance should be held invalid by a court of competent jurisdiction, the remainder of this Act or the application of its provisions to persons or circumstances other than those to which it is held invalid shall not be affected thereby.

Section 5. Savings Clause. This Act and any repealer contained herein shall not be construed as affecting any existing right acquired under contract or acquired under statutes repealed or under any rule, regulation, or order adopted under the statutes. Repealers contained in this Act shall not affect any proceeding instituted under or pursuant to prior law. The enactment of the Act shall not have the effect of terminating, or in any way modifying, any liability, civil or criminal, which shall already be in existence on the date this Act becomes effective.

Section 6. Effective Date. This Act shall take effect upon its approval by the Governor, or its becoming law without such approval.

Attested to by: _____
Linda B. Muña, House Clerk

Certified by: _____
SPEAKER JOSEPH P. DELEON GUERRERO
House of Representatives
18th Northern Marianas Commonwealth Legislature

APPROVED this 4th day of September, 2014

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ELOY S. INOS
Governor
Commonwealth of the Northern Mariana Islands